CASE STUDY – 12

CORPORATE GOVERNANCE AND ETHICS POLICY

K. Preethi
B.Com (Honours) 2nd Year
Faceprep Campus
Kamaraj College

Table of Contents

S.No	Content
1.	Introduction
2.	Policy Overview
3.	Key Provision of the Policy
4.	Compliance and Governance Analysis
5.	Policy Evaluation
6.	Business Relevance (Canara Bank)
7.	Recommendations
8.	Conclusion

1. Introduction

1. Corporate Policy Review

Corporate policy review means studying a company's policies and checking whether they are effective. It helps to understand how an organisation follows rules, maintains discipline and protects the interests of stakeholders.

2. Corporate Governance and Ethics Policy

Corporate Governance and Ethics Policy explains how a company should be managed honestly, fairly and responsibly. It focuses on transparency, accountability, ethical behaviour and proper decision-making.

3. Organisation

Canara Bank is a public sector bank in India. It provides banking services such as savings accounts, loans, digital banking and other financial services. Good corporate governance is important for maintaining customer trust and protecting the interests of stakeholders.

4. Selected Corporate Policy

The selected topic for this case study is Corporate Governance and Ethics Policy in Canara Bank. This case study examines how good governance, ethical practices and accountability help the bank operate responsibly.

2. Policy Overview

Corporate governance means managing and controlling an organisation in a proper way. Business ethics means following moral principles and doing what is right.

Canara Bank must follow applicable banking laws, RBI guidelines and other regulatory requirements.

The main areas of corporate governance and ethics are:

Right to Transparency

The bank should provide correct information about its services, decisions and activities.

Accountability

The management and employees should take responsibility for their decisions and actions.

Ethical Behaviour

Employees should work honestly and avoid unfair practices.

Fair Treatment

The bank should treat customers and employees fairly without discrimination.

Responsibility

The bank should follow laws and protect the interests of customers, employees and other stakeholders.

3. Key Provisions of the Policy

1. Transparency

The bank should provide clear and correct information about its banking services, charges and rules.

2. Accountability

The management and employees should be responsible for their decisions and actions.

3. Ethical Conduct

Employees should maintain honesty, integrity and professionalism while performing their duties.

4. Prevention of Corruption

The bank should take steps to prevent bribery, corruption and misuse of official power.

5. Conflict of Interest

Employees should avoid situations where their personal interests affect their official duties.

6. Confidentiality

The bank should protect confidential customer information and use it only for authorised purposes.

4. Compliance and Governance Analysis

Canara Bank must follow applicable laws, banking regulations and RBI guidelines. Good corporate governance helps the bank maintain proper control over its activities.

Important areas include:

- Board of Directors' responsibilities
- Ethical behaviour of employees
- Transparency in banking operations
- Prevention of fraud and corruption
- Protection of customer information

These practices help improve the bank's performance and maintain public confidence.

5. Policy Evaluation

1. Transparency

Clear information helps customers understand banking services and charges.

2. Accountability

Employees and management must take responsibility for their actions.

3. Ethical Practices

Honesty and integrity help prevent unfair practices and improve the bank's reputation.

4. Risk Management

Proper monitoring and internal controls help identify and reduce risks.

5. Stakeholder Protection

Good governance helps protect the interests of customers, employees, shareholders and other stakeholders.

6. Continuous Improvement

Regular reviews and employee training can improve ethical practices and governance.

6. Business Relevance

1. Canara Bank

Canara Bank is selected for this case study because it is a major public sector bank in India. It provides banking services through branches and digital platforms.

Corporate governance and ethical practices help the bank maintain transparency, accountability and customer trust.

2. Importance of the Policy in Modern Business

In modern banking, customers expect safe, fair and transparent services.

Corporate governance and ethics help the bank maintain:

- Honest business practices
- Fair customer service
- Proper financial management
- Safe banking operations
- Legal compliance
- Public trust

3. Impact on Employees

The policy helps employees understand their responsibilities and follow ethical practices.

Employees should provide correct information, avoid corruption and treat customers fairly.

4. Impact on Customers

Customers benefit from fair treatment, transparent information and responsible banking services.

They can have greater confidence in the bank when it follows ethical practices and proper rules.

5. Impact on the Organisation

Good corporate governance improves the bank's reputation, reduces risks and supports long-term growth.

7. Recommendations

1. Improve Ethical Awareness

The bank should conduct regular programmes to teach employees about honesty, integrity and ethical behaviour.

2. Strengthen Internal Controls

The bank should regularly monitor its operations to identify mistakes, fraud and misuse of authority.

3. Improve Transparency

The bank should provide clear information about its services, policies and procedures.

4. Provide Regular Employee Training

Employees should receive regular training on corporate governance, banking rules and professional ethics.

5. Encourage Reporting of Wrongdoing

The bank should provide safe and confidential ways for employees to report unethical activities.

6. Conduct Regular Audits

Regular internal audits can help identify problems and improve accountability.

8. Conclusion

Corporate governance and ethics are important for the successful functioning of Canara Bank. They help the bank maintain transparency, accountability, honesty and fairness in its operations. Good governance also protects customers, employees and other stakeholders. By following banking regulations, strengthening internal controls and providing regular employee training, Canara Bank can improve its ethical practices and maintain public trust.

References

1. Canara Bank Official Website: https://canarabank.bank.in/
2. Canara Bank Policies: https://canarabank.bank.in/policies